

A cleaner plan for Puget Sound at similar cost

A plain-language summary of the Washington Clean Energy Coalition's response to PSE's 2027 Integrated System Plan modeling

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Puget Sound Energy (PSE) is planning its infrastructure investments to keep our homes warm and our lights on for the next 25 years. The company's plan for the electric grid would produce the largest buildout of gas-fired power plants in the company's history, roughly twenty new plants. Meanwhile the gas system would continue to serve about as many gas customers in 2050 as it does today.

These two assumptions are at odds with Washington's clean energy goals. That prompted our organization, the Washington Clean Energy Coalition, to take a closer look. PSE's own data and commercially feasible technology suggests a cleaner path. Our alternative plan appears to cost the same or less than PSE's and is designed to be just as reliable, with less long-term risk for customers.

We are not asking PSE to adopt our plan. We are asking for an independent expert to analyze a realistic clean plan before PSE commits its customers to pay billions of dollars for a plan that falls short of our state's clean energy aspirations.

Where your energy dollars go, 2028-2050

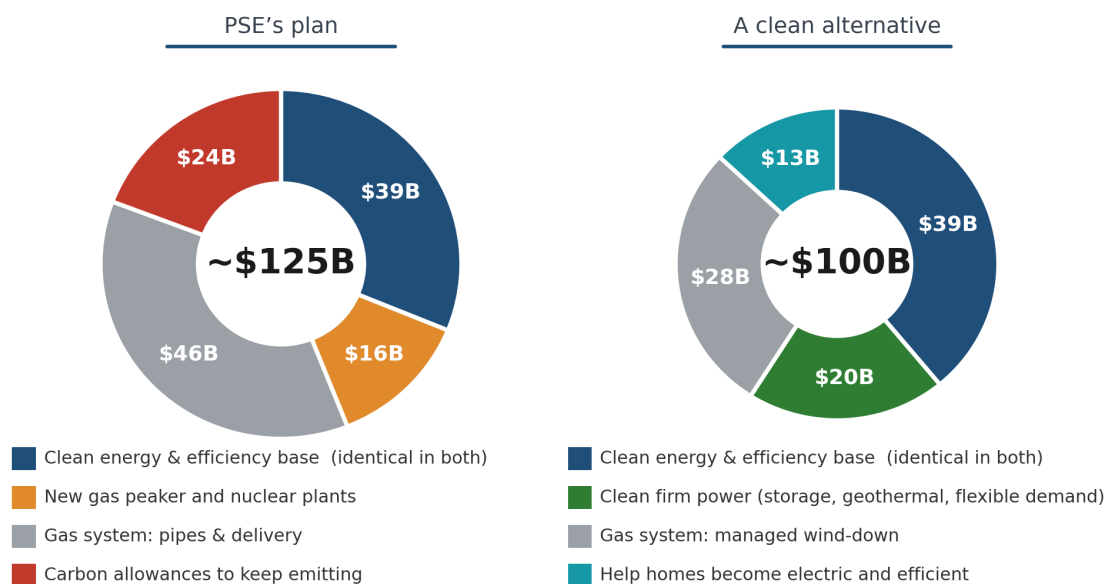


Figure 1. Where the money goes over 2028–2050, across the whole gas-and-electric plan. Costs are rough midpoint estimates; the ranges are wide and overlap.

As shown in Figure 1, PSE's plan (Reference B portfolio) and our diversified clean alternative start with the same foundation of wind, solar, batteries, and energy-saving programs (the navy-colored slice). But they differ on how to provide dependable power on the coldest winter days and what to do with the gas system.

To produce electricity during a stretch of cold winter days, PSE would buy new gas "peaker" plants and a speculative nuclear reactor. We prefer a combination of long-duration batteries, EV batteries, geothermal, and flexible demand.

Regarding how to handle the gas system, PSE assumes the number of residential customers will stay relatively static, and that they will pay billions of dollars to cover the cost of carbon allowances to compensate for the megatons of emissions from the gas system. We think that instead of buying carbon allowances, it's better to actually reduce emissions in line with state law and spend the carbon allowance money to help customers transition to super-efficient heat pumps and electric appliances that will lower their energy bills significantly.

What it means for your bills

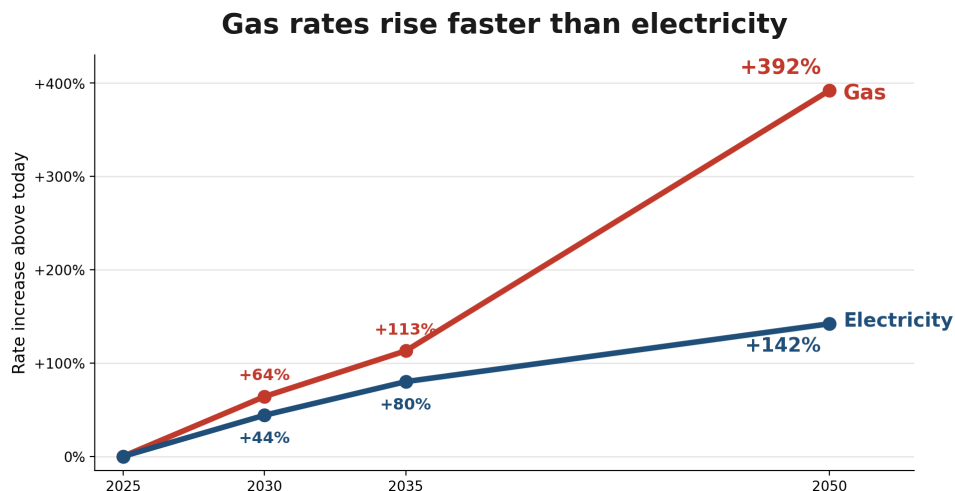


Figure 2. PSE's price forecast as a percentage of today's prices (includes inflation)

PSE's own forecast shows residential gas rates rising far faster than electricity — nearly 400% above today's level by 2050 — compared to about 140% for electricity. PSE says a customer in 2050 will pay more for the pollution caused by gas than the cost of the gas itself! Also, a modern heat pump uses one third of the energy needed to produce the same amount of heat with a gas furnace. Customers who switch will save a lot of money on their energy bills. But, given that households who can afford to leave gas will likely go first, the customers left behind (such as renters and lower-income families) will get stuck paying the rising cost of the pipelines and delivery. PSE's plan does not address the likelihood of this trajectory, causing problems for families, the environment, and its own business. Our plan anticipates this accelerating transition and keeps vulnerable customers from being penalized.

Built for a cold snap

The hardest test for our energy grid is a multi-day winter freeze, like the one in January 2024. The clean plan is designed to handle that event by combining the strengths of different technologies: long duration "base load" is provided by multi-day storage and firm geothermal; flexible demand trims daily peaks; short duration lithium-ion batteries serve the sharpest demand spikes. If there are unexpected hiccups in the supply chain or technology issues, a single gas plant could serve as a last-resort backstop. We don't need to commit to twenty such plants today. PSE's plan will increase risk if we have another emergency like the one that occurred during that 2024 freeze. At that time, the region's largest gas-storage facility failed, jeopardizing gas delivery during critical hours. It's prudent to diversify risk when one failing resource can threaten customer health and safety.

Lower risk for customers

New gas plants are a 30-year commitment to a technology that presents long-term risk. If clean resources continue to improve capacity and reduce costs, customers may pay for gas plants we do not need. If gas plants can't switch to clean fuel after Washington's 2045 clean-electricity deadline, they will have to shut down. Customers will still keep paying for them and whatever is built to replace them. In contrast, clean resources are modular, so we can add them step by step and adjust as we learn. If our estimates are a little off about the energy the modular clean resources can provide, that mistake is easier to recover from than overcommitting to five gigawatts of gas plant capacity.

Reducing emissions, or not

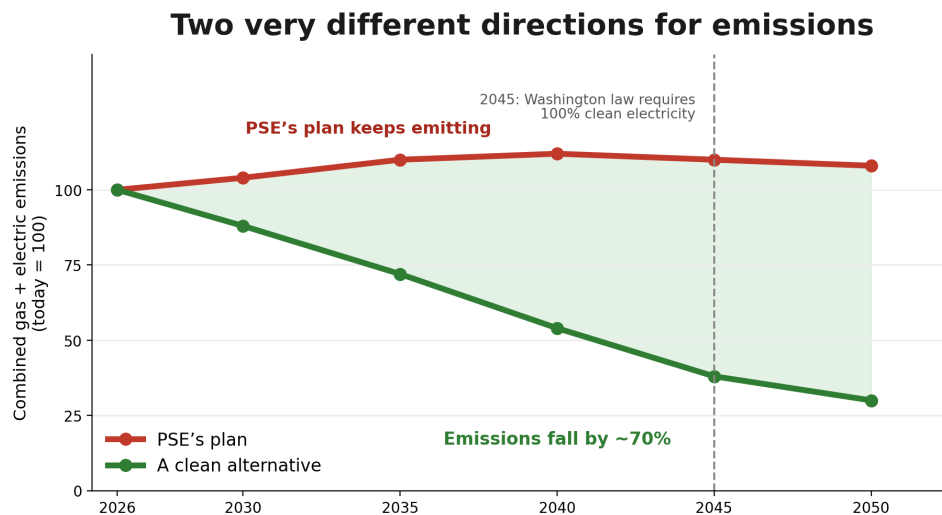


Figure 3. Possible emissions for gas & electric systems — not a precise forecast.

In 2050, PSE's combined gas and electric plan would produce about the same annual emissions as we have today. Our plan would reduce emissions by about 70% in the same timeframe. What more should we say? PSE's plan diverges from Washington's climate goals; our alternative supports them.

All we're asking for

PSE will say this is just preliminary modeling, not a final plan. We understand that. But early modeling builds a foundation for everything that follows. So far, the only clean option PSE has tested is not a serious plan. An all-battery portfolio is unrealistic, enormously expensive, and didn't even meet basic operating requirements. If the only clean choice is one PSE calls unworkable, all subsequent decisions start from a gas-heavy baseline. We are at risk of ending up with a lot more gas capacity than we need.

The fix is simple and fair: model a realistic, diversified clean portfolio now. Engage an independent expert, reporting to state regulators rather than to PSE, to check the work. That is ordinary prudence before committing billions of dollars of customers' money.

The Washington Clean Energy Coalition is an all-volunteer nonprofit. It shouldn't fall to volunteers to design a clean energy plan. PSE has the staff and the models to test one properly. We are simply asking the company to do so, in the open, before the decision is locked in.